In software industry, we follow a very important method to ensure that we were able to analyze the existing trends and continue to improve continuously as we went along.

This methodology is better known as "Pareto Analysis". What it essentially says is that if you look at the defects in any software, and categorize these defects by causes of those defects and draw a category wise chart, you will realize that 80% of the defects are caused by 20% of the causes. Once you have carried out this analysis, you need to go back and address those causes (20%) so that most of the defects (80%) can be avoided in the future.

This method of analysis is very well proven and a de-facto standard in the software industry throughout the world. The same concept can, and must be, applied in other spheres of life. You will see the same concept in your office or your area of work. 20% of the people around you will do 80% of the work. The same principle applies when we talk about money. 20% of the people across the globe hold more than 80% of the money.

The same rule can also be applied to decide the investments you make in a particular year before you go on to continue investing next year.

It is important to understand what returns each of your investment tools gave you in a defined period of time before continuing to invest with the same portfolio break up or deciding to change the portfolio distribution. We have already studied various formulae for calculating these returns in the early chapters of this book. Now is the time to put those formulae into practice to decide which investment is giving you better returns and which is not.

When I did this analysis on my portfolio for the first time in 2010 and saw the results, I was in for a few surprises. This is precisely what is going to happen with you as well, if you devote enough time to this analysis.

Figure 7.19 shows the results of the first such analysis I carried out. I was always under the impression that fixed deposits and stocks were giving me good returns (because I could see the money coming each year), what I never realized was that gold ETFs and mutual funds were giving me better results than fixed deposits.